

PROJECT BEACON

Confidential Information Memorandum

Lighthouse Logistics Group

Transportation & Logistics | Regional LTL & Final-Mile Freight

William Blair & Company | September 2023

STRICTLY CONFIDENTIAL

This Confidential Information Memorandum has been prepared by William Blair & Company solely for use by prospective purchasers in evaluating a possible transaction. The information contained herein has been obtained from sources believed to be reliable but has not been independently verified. Recipients must treat this document as strictly confidential.

Important Disclaimer & Confidentiality Notice

This Confidential Information Memorandum (this "CIM") has been prepared by William Blair & Company ("Advisor") on behalf of Lighthouse Logistics Group (the "Company") solely to assist prospective purchasers in making their own evaluation of the Company. This CIM does not purport to contain all of the information that a prospective purchaser may require.

The information contained in this CIM has been obtained from sources believed to be reliable, including from the Company and its management team. However, neither the Company nor Advisor makes any representation or warranty, express or implied, as to the accuracy or completeness of the information contained herein, and nothing contained herein shall be relied upon as a promise or representation as to the future performance of the Company.

This CIM and the information contained herein are strictly confidential and are being provided solely to the recipient. By accepting this CIM, the recipient agrees not to reproduce, disclose, or distribute, in whole or in part, to any other person or entity without the prior written consent of the Advisor.

This CIM is not an offer to sell or a solicitation of an offer to buy any securities. Any such offer or solicitation will be made only pursuant to definitive transaction documents. The Company and Advisor reserve the right, in their absolute discretion, to reject any or all proposals, to terminate discussions at any time, and to negotiate with any party.



Table of Contents

Executive Summary	04
Investment Highlights	05
Company Overview	06
Products & Brands	07
Market Opportunity	08
Competitive Landscape	09
Business Model & Financials	10
Historical Financials	11
Financial Projections	12
Capital Structure	13
Transaction Overview	14

Executive Summary

Lighthouse Logistics Group ("Lighthouse" or the "Company") is a technology-enabled regional less-than-truckload (LTL) and final-mile delivery provider operating across the Southeast and Mid-Atlantic United States. Founded in 2004, Lighthouse has grown to operate 14 regional terminals, a fleet of 680 owned and leased vehicles, and a proprietary route optimization platform ("BeaconOS") that drives industry-leading on-time delivery rates of 97.4%. The Company primarily serves mid-market shippers across industrial distribution, retail, and healthcare verticals, with a growing e-commerce fulfillment practice that now represents 28% of revenue.

Revenue

\$218M

LTM

EBITDA

\$33.7M

LTM

Margin

15.5%

LTM

FCF Conv.

68%

of EBITDA

Net Leverage

2.4x

EBITDA

Employees

~1,450

FTEs + drivers

Why Now?

BeaconOS route optimization reduces cost-per-stop by 14% vs. manual dispatch; 97.4% OTD rate — top decile for regional LTL | Final-mile e-commerce segment grew 41% YoY; now 28% of revenue, targeted at 40%+ by 2026

Key Investment Highlights

1 Leading regional LTL platform with proprietary technology moat

BeaconOS route optimization reduces cost-per-stop by 14% vs. manual dispatch; 97.4% OTD rate — top decile for regional LTL · 7-year average customer tenure; top-20 customers represent 52% of revenue with no single customer >8% · Network density in the Southeast creates structural cost advantage vs. national carriers (XPO, Saia, Old Dominion) on lanes <500 miles

2 High-growth e-commerce and final-mile practice accelerating mix shift

Final-mile e-commerce segment grew 41% YoY; now 28% of revenue, targeted at 40%+ by 2026 · Partnership with 3 regional distribution center operators providing captive volume; pipeline of 2 additional partnerships in diligence · BeaconOS white-labeled to 2 regional 3PLs — SaaS revenue stream of \$2.1M ARR at 80%+ gross margin

3 Highly fragmented regional LTL market ripe for consolidation

Southeast LTL market estimated at \$8.4B; top-5 regional players hold <30% share; Lighthouse is #3 by terminals · Completed 2 bolt-on terminal acquisitions in 2022 (Augusta, GA; Greenville, SC) at 5.5-6.0x EBITDA; 3 additional targets identified · Acquirer would gain immediate top-5 regional positioning with 3-4 additional actionable tuck-ins at attractive multiples

4 Resilient, diversified revenue with strong free cash flow conversion

Healthcare vertical (19% of revenue) provides counter-cyclical stability; 3-year CAGR of 24% in healthcare · Asset-light terminal model: 9 of 14 terminals are leased, preserving capital flexibility for M&A · FCF conversion of 68% of EBITDA; \$12M capex run-rate well below depreciation — fleet refresh funded within operating cash flow

Company Overview

Founded 2004	HQ Charlotte, NC	Employees ~1,450
Fleet 680 owned/leased vehicles	Terminals 14 across SE/Mid-Atlantic	Top Client <8% of revenue

Company Timeline

2004	2011	2016	2019	2022	2023
Founded in Charlotte, NC by former UPS Freight regional manager	Launched BeaconOS route optimization platform	Crossed \$100M revenue; expanded into Mid-Atlantic with Richmond hub	Launched final-mile e-commerce practice; secured first 3PL white-label contract	Completed Augusta + Greenville terminal acquisitions; crossed \$200M revenue	Launched BeaconOS SaaS licensing; initiated sale process with William Blair

Products & Brands

Regional LTL Freight

Core door-to-door LTL service across 14-state Southeast/Mid-Atlantic footprint; 1-3 day transit times

Final-Mile Delivery

White-glove and standard final-mile for e-commerce, furniture, and appliance retailers; scheduled delivery windows

BeaconOS Platform

Proprietary TMS/route optimization — used internally and licensed to 3PLs as SaaS at \$2.1M ARR

Dedicated Fleet Services

Dedicated contract carriage for high-volume shippers requiring reserved capacity and custom KPIs

Market Opportunity

Market Segment	Total Size	Competitive Context	Revenue Mix
Southeast LTL	\$8.4B	Highly fragmented; Lighthouse #3 by terminal count	32%
Mid-Atlantic LTL	\$4.1B	Growing; entered 2016; 3 terminals	18%
E-Commerce Final Mile	\$6.8B	Fastest growing; 41% YoY	28%
Healthcare Logistics	\$3.2B	Counter-cyclical; 3-yr CAGR 24%	19%
3PL SaaS Licensing	~\$85M	Emerging; BeaconOS white-label	3%

Combined addressable market: \$8.4B (primary segment) — see detail above

Competitive Landscape

Key Differentiators vs. Peers



Business Model & Channel Strategy

Direct Sales

Regional sales force of 42 reps; hunter/farmer model; avg. deal size \$320K ARR

Broker / Freight Network

~22% of volume from freight brokers (Coyote, Echo, Transplace); programmatic pricing

3PL Partnerships

Captive volume from 3 regional DCs; BeaconOS licensing creates upsell path

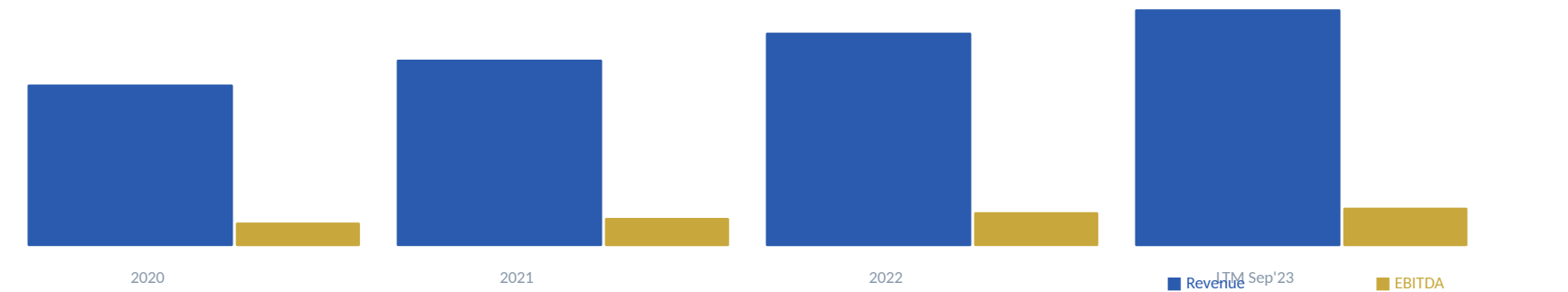
Digital Self-Serve

Online quoting and booking for SMB shippers; 12% of shipments fully digital

Historical Financial Performance

(\$M)	2020	2021	2022	LTM Sep'23
Revenue	148.2	171.4	196.5	218.3
Adj. EBITDA	19.8	24.1	29.4	33.7
EBITDA Margin (%)	13.4%	14.1%	15.0%	15.5%
Net Income	8.2	11.4	15.1	18.6

Revenue & EBITDA Trend



Financial Projections

(\$M)	2024E	2025E	2026E
Revenue	241.0	268.0	298.5
Adj. EBITDA	37.5	43.2	50.1
EBITDA Margin (%)	15.6%	16.1%	16.8%

Key Projection Assumptions

BeaconOS route optimization reduces cost-per-stop by 14% vs. manual dispatch; 97.4% OTD rate — top decile for regional LTL

Final-mile e-commerce segment grew 41% YoY; now 28% of revenue, targeted at 40%+ by 2026

Southeast LTL market estimated at \$8.4B; top-5 regional players hold <30% share; Lighthouse is #3 by terminals

Indicative Capital Structure & Valuation

(\$M unless otherwise noted)

Sources	\$M
New First Lien Term Loan	175.0x
Sponsor Equity	135.0x
Mgmt Rollover	12.5e
Total Sources	322.5

Valuation Reference

Metric	Implied Multiple	Peer Range
EV / LTM Revenue	1.4x	1.2x – 1.8x
EV / LTM EBITDA	9.2x	8.0x – 11.5x
EV / 2024E EBITDA	8.3x	7.5x – 10.0x
EV / 2024E Revenue	1.3x	1.0x – 1.6x

Transaction Process & Advisor Contacts

Process Timeline

Phase I – Teaser / NDA ~28 parties contacted; 14 NDAs signed	Aug – Sep 2023
Phase II – Management Presentations 12 management presentations; 8 first-round bids	Oct – Nov 2023
Phase III – Final Bids / Diligence 4 final bids received; exclusivity granted to bidder	Nov – Dec 2023
Signing & Closing Regulatory filings; HSR clearance expected	Q1 2024 (est.)

Advisor Contacts

James Carrington Managing Director William Blair & Company jcarrington@williamblair.com • (312) 555-4801	Natasha Kim Vice President William Blair & Company nkim@williamblair.com • (312) 555-4802
---	--